



Time: 4 minutes

Outcome: Compare the construction and uses of CPI and the GDP deflator.

Difficulty: Intermediate

CPI versus GDP Deflator

THE CORE IDEA

The CPI tracks prices paid for a consumer basket, while the GDP deflator tracks prices of currently produced domestic final output. Imported consumer goods affect CPI but not the GDP deflator directly. Use CPI for consumer purchasing-power questions and the GDP deflator for the price level of current domestic GDP. Identify the buyer and production location, then match the price change to the index whose scope includes it. CPI follows a consumer-basket framework; the GDP deflator follows prices of current domestically produced final output.

HOW TO RECOGNIZE IT

- Use CPI for consumer purchasing-power questions and the GDP deflator for the price level of current domestic GDP.
- A domestic firm buys newly produced business software whose price rises.
- Imported prescription-drug prices rise while prices of domestic hospital services are unchanged.
- A city buys domestic transit vehicles while households buy imported fuel.
- Domestic food-export prices rise and imported-clothing prices fall.

WATCH OUT

Do not treat CPI and the GDP deflator as interchangeable measures of the same set of prices. CPI follows a consumer-basket framework; the GDP deflator follows prices of current domestically produced final output.

WORKED EXAMPLE: CHOOSING THE RIGHT PRICE INDEX

Coverage in the simplified index comparison

	CPI	GDP deflator
Imported consumer coffee	Included in consumer basket	Not domestic output
Domestic investment machine	Not consumer purchase	Included in domestic output
Domestic goods exported	Not domestic consumer purchase	Included in domestic output

The price of imported coffee rises while prices of domestically produced goods are unchanged. Coffee is in the consumer basket, so the increase can raise CPI. Because the coffee was produced abroad, it is not part of domestic GDP and does not directly raise the GDP deflator.

CHECK YOURSELF

Which price index uses a fixed basket of consumer goods?